PRESS RELEASE

Man Pleads Guilty in Connection with $17M Medicare Hospice Fraud and Home Health Care Fraud Schemes

Monday, February 3, 2025

For Immediate Release

Office of Public Affairs

A California man pleaded guilty today to health care fraud, aggravated identity theft, and money laundering in connection with a years-long scheme to defraud Medicare of more than $17 million through sham hospice companies and his home health care company.

According to court documents, Petros Fichidzhyan, 43, of Granada Hills, engaged in a scheme with others to operate a series of sham hospice companies. Fichidzhyan, along with co-schemers, impersonated the identities of foreign nationals to use as the purported owners of the hospices — including using the identities to open bank accounts and sign property leases — and submitted false and fraudulent claims to Medicare for hospice services that were not medically necessary and not provided. In submitting the false claims, Fichidzhyan and his co-schemers also misappropriated the identifying information of doctors, claiming to Medicare that the doctors had determined hospice services were necessary, when in fact the purported recipients of these hospice services were not terminally ill and had never requested nor received care from the sham hospices. As a result of the scheme, Medicare paid the sham hospices nearly $16 million. Fichidzhyan personally received nearly $7 million of the proceeds from the fraud scheme, including more than $5.3 million in transfers to his personal and business bank accounts, which were laundered through a dozen shell and third-party bank accounts. Fichidzhyan additionally admitted to wrongfully obtaining more than $1 million for his home health care agency through the fraudulent use of a doctor's name and identifying information in certifying Medicare beneficiaries for home health care, which he attempted to cover up by paying the doctor $11,000.

Fichidzhyan pleaded guilty to health care fraud, aggravated identity theft, and money laundering. He is scheduled to be sentenced on April 14 and faces a mandatory penalty of two years in prison on the aggravated identity theft charge, a maximum penalty of 10 years in prison on the health care fraud charge, and a maximum penalty of 20 years in prison on the money laundering charge. A federal district court judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

Today's guilty plea is the most recent conviction in the Justice Department's ongoing effort to combat hospice fraud in the greater Los Angeles area. Last year, a doctor was convicted at trial for his role in a scheme to bill Medicare for hospice services patients did not need, and two other defendants were sentenced for their roles in a hospice fraud scheme.

Supervisory Official Antoinette T. Bacon of the Justice Department's Criminal Division, Assistant Director in Charge Akil Davis of the FBI Los Angeles Field Office, and Acting Special Agent in Charge Diane N. Vu of the Department of Health and Human Services Office of Inspector General (HHS-OIG) Los Angeles Regional Office made the announcement.

The FBI and HHS-OIG are investigating the case.

Trial Attorneys Eric C. Schmale and Sarah E. Edwards of the Criminal Division's Fraud Section are prosecuting the case.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than $30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

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Topic

HEALTHCARE FRAUD

Components

Criminal Division | Criminal - Criminal Fraud Section | Federal Bureau of Investigation (FBI)

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